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Request for Information: Development of an Artificial Intelligence Action Plan

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Comment on FR Doc # 2025-02305

Submitter Information

Email: [redacted]
Organization: Hazel AI Technologies, Inc.

General Comment

See attached file(s)

Attachments

Hazel NSF RFI Development of AI Action Plan

March 10, 2025

Faisal D’Souza
National Coordination Office
2415 Eisenhower Avenue
Alexandria, VA 22314
[redacted]

Re: Hazel Comments on Development of an Artificial Intelligence (*AI) Action Plan*

Dear Mr. D’Souza:

Hazel AI Technologies, Inc. appreciates the opportunity to provide our comments on the request for information on the Development of an Artificial Intelligence (AI) Action Plan (“Plan”) by the Networking and Information Technology Research and Development (NITRD) National Coordination Office (NCO).

As founders of Hazel, an AI-powered procurement solution for government, we commend President Trump’s Executive Order 14179 that the United States should enhance American’s AI dominance in order to promote human flourishing, economic competitiveness, and national security. Hazel believes that the application and use of AI in the public sector can improve government operations while saving employee time and taxpayer money. Hazel’s AI platform provides a leading example of the benefits available to taxpayers. Hazel users save time by cutting procurement time by 90% and money, and are also able to work with suppliers that otherwise would not be part of the procurement process, expanding vendor access by 10x. This brings new small businesses into the fold, furthering the economic benefit for AI in the US.

Hazel was founded in 2024 to modernize and streamline government and public sector purchasing. By automating key procurement processes including solicitation, drafting, vendor identification, compliance management and contract optimization, Hazel accelerates decision-making while ensuring full regulatory compliance. The company’s proprietary AI technology simplifies complex procurement workflows, reduces costs and enhances vendor diversity by making supplier data more actionable. Hazel’s team has deep expertise in AI, software, government, and acquisitions and is relentless in our delivery of cutting-edge solutions to government partners. The broader Hazel team leverages prior experience from companies including Palantir, Boston Consulting Group (BCG), Lockheed Martin, Peraton, MITRE, SpaceX, and two founded and exited startups where they supported U.S. Army, Navy, Air Force, Space Force, USIC, state utility entities, and private companies in acquisition and sustainment support. Hazel partners with federal, state and local agencies including educational institutions and defense organizations to drive smarter, faster and more accountable procurement.

Within 6 months, the team rapidly deployed the Hazel AI Acquisitions and Contracting Platform and its underlying specialized AI agents. These agents enable government procurement clients to draft compliant, full scope solicitation, RFP, RFI, market research, and acquisitions justification documents in hours instead of months. They also manage clients' entire acquisitions pipeline and reduce the time from requirements definition to procurement by weeks. Hazel has also built complementary AI-enabled modules to turbocharge existing acquisitions pipeline tasks. The cornerstone of Hazel's approach is our proprietary acquisitions-specific, fine-tuned LLM that enables advanced, low-touch procurement task execution for government clients across the United States.

Hazel platform incorporates several distinct AI-powered capabilities. Hazel leverages state of the art natural language processing (NLP) models for its large language models (LLMs) needs. Hazel's LLMs process user queries for acquisitions needs and analyze relevant documents. Hazel also uses optical character recognition (OCR) tools to parse documents to derive full context and structure. OCR makes historical data in any format highly valuable for LLM-powered content generation. Additionally, Hazel employs varied AI approaches for acquiring market research by matching vendors to requirements and enriching vendor data through AI-powered web-scraping. Hazel has a proprietary methodology for collecting and documenting vendor capabilities by combining datasets from federal government, local government, and commercial industry. Systems of record (e.g., SAM.gov), websites, and other databases are trawled at regular intervals by AI agents, summarized & analyzed via a series of NLP techniques, and then labeled with AI agents (e.g., NAICS codes). This methodology has allowed Hazel to identify >10M potential vendors.

Based on Hazel's experience, below are our recommendations of core concepts to be incorporated in the AI Action Plan:

1) **Apply existing technology frameworks.** AI may be transformative, but it is not without precedent. In many cases, government can evaluate AI applications within existing technology frameworks in order to govern implementation, rather than creating new frameworks. Encouraging the use of industry frameworks such as NIST AI Risk Management Framework (RMF) and best practices will promote innovation. Companies will already be familiar with existing conditions so they continue to build and operate in the environment they know and will allow the government to adopt and use new technologies faster working in the current structure.

2) **Differentiate between productivity tools and decision-making tools.** AI regulations should focus on mitigating known risks and protecting against malicious activities rather than preventing a specific modality. In this case, the concerning activity relating to AI is decision-making, and particularly, the making of consequential decisions. AI regulation should not address productivity tools without decision-making capabilities. When business cases are highly complex, it makes sense that the task should not be entirely delegated to AI. However, Hazel provides an example of a productivity tool; it assists, but does not replace, human decision making. Hazel believes it's important to distinguish that, with current AI, there remain pitfalls to using the technology to replace human decision-making.

3) **Start with easy low-hanging fruit**. For AI to ensure there are no unintended consequences, government should start with use cases that best suit AI's strengths. Hazel believes that procurement provides one example of functionality where AI can safely add short term benefits with minimal risk. Other examples include AI cameras for traffic control to enhance public safety and infrastructure or AI-powered tools to improve government transparency, like the transcription of public government meetings. Once the benefits of use cases like these have been proven, government can develop additional guardrails for more challenging

4) **Incorporate Modular Open Systems Architecture (MOSA) principles.** MOSA principles will be crucial to meet government agencies' requirements for scalability, security and interoperability. For example, Hazel leverages a microservices-based containerized architecture to ensure systems are highly adaptable to evolving mission requirements, capable of integrating seamlessly with existing systems, and scalable to support growing operational demands. Additionally, solutions should be designed to support diverse cyber environments including unclassified, classified and airgapped operations, ensuring functionality across the full spectrum of use cases. Hazel's baseline software architecture is segmented into three distinct layers: data, model, and application. Each layer is self-contained, allowing independent improvements, updates, and scaling without affecting the other layers. This segmentation enables Hazel to handle complex procurement tasks efficiently, such as integrating structured and unstructured solicitation data, generating justifications for selected regulation clauses, and exporting selected clauses seamlessly to external contract writing systems.

5) **Prioritize sustainment and lifecycle management.** Lifecycle management is a cornerstone approach to AI system design. Hazel's strategy includes proactive system

and module updates, long-term technical support and comprehensive training programs to ensure user readiness and adoption. This approach emphasizes lifecycle management by continuously monitoring performance, integrating user feedback and evolving capabilities to align with emerging requirements.

6) **Support Public-private partnerships.** The human capital currently producing AI is exclusively in the private sector. Public-private partnerships will enable the government to work hand in hand with AI developers to create technology that follows important regulations while not stifling innovation. In particular, this can be extremely beneficial to small businesses, like Hazel. Partnerships between the federal government and the private sector will increase shared learnings, improve AI implementation, access and mitigate risks while helping small businesses grow.

7) **Federal Guidance to Preempt State Regulations.** As we've seen with data privacy laws, there is currently a patchwork of regulations that vary state-by-state. In order to promote innovation, it would be ideal for the federal government to offer guidance that would preempt state regulations so that the country as a whole continues to move forward with AI.

8) **Streamlined Federal IT Procurement.** Government utilization of AI can improve access to important services for taxpayers, save time and money in government and bring additional data into important decisions. In order to improve the use of AI in the public sector, there needs to be more flexibility in procurement vehicles.

We understand that some have raised concerns with AI's application in the public sector, but with the right guidance in place, AI's innovation and competition will ultimately help our economy and businesses, while making government functions like procurement more efficient, effective, and innovative.

We believe it is important to look at AI as an opportunity for small businesses across the country to grow American prosperity through the use of innovative AI. Instead of regulations and government agencies limiting growth or having larger legacy players fight over their slice of pie, we should be focused on growing the pie as a whole and AI innovation is the tool while small businesses are the vehicle to get us there. The AI Action Plan should give consideration to the potential implications any proposed regulatory policies would have on small businesses and ensure that the AI Action Plan supports our technology ecosystem.

Thank you for the opportunity to share our perspectives around AI. We hope our recommendations are taken into consideration during the development of the AI Action Plan. Please feel free to reach out with any questions and we look forward to continuing to work with the United States government.

Sincerely,

August Chen and Elton Lossner
Co-Founders
Hazel AI Technologies, Inc.

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